If the company has bob-around earnings, you should discount those earnings by the long-term interest rate. If owner earnings show some predictable growth pattern, the discount rate can be reduced by this rate of growth. Don't become overly optimistic about a company's future growth rate. It is better to use a conservative estimate than allow enthusiasm to inflate the value of the business. Buffett uses the long-term U.S. Treasury rate as his discount factor. He does not add an equity risk premium to this discount rate, but he will adjust the discount rate upward when interest rates are declining.

Can the Business Be Purchased at a Significant Discount to Its Value?

Once you determine the value of a business, the next step is to look at the market price. Buffett's rule is to purchase the business only when its price is at a significant discount to its value. Take note: Only at his final step does Buffett look at the stock market price.

Calculating the value of a business is not mathematically complex. However, problems arise when an analyst wrongly estimates a company's future cash flow. Buffett deals with this problem in two ways. First, he increases his chances of correctly predicting future cash flows by sticking with businesses that are simple and stable in character. Second, he insists that with each company he purchases, there must be a margin of safety between the company's purchase price and its determined value. This margin of safety helps create a cushion that will protect him—and you—from companies whose future cash flows are changing.

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Now that you are a business owner as opposed to a renter of stocks, you are ready to expand your theoretical portfolio from just one stock to several. Because you are no longer measuring your success solely by price change or comparing annual price change to a common stock benchmark, you have the liberty to select the best businesses available. There is no law that says you must include every major industry within your portfolio, nor do you have to include 40, 50, 60, or 100 stocks in your portfolio to achieve adequate diversification.